Original Article

POMS

Production and Operations Management
2025, Vol. 34(8) 2083–2103

DOI: 10.1177/10591478241310217
journals.sagepub.com/home/pao
Sage

When Platforms Go Public, Standards Drop

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Abstract

Peer-to-peer (P2P) platforms facilitate the direct exchange of goods, services, or financial transactions between individuals without the involvement of intermediaries. To maintain trust among their user bases, these platforms must implement stringent access controls to determine which users are eligible to participate in their digital marketplace. We argue that when a platform transitions from private to public ownership, it may be incentivized to strategically lower its access standards and admit users who might otherwise have been deemed unqualified. Lowering standards before an initial public offering (IPO) can enable platforms to rapidly increase their user base—and, consequently, enhance their perceived valuation—which could appeal to stock investors and positively influence the IPO price. While this strategy may bolster short-term growth, it could be costly to the platform's user base. We support this hypothesis using data from two major P2P lending platforms—one that went public and one that remained private. Using a difference-in-differences analysis, we find that the platform preparing for an IPO admitted borrowers who exhibited higher risk levels. Additionally, lenders, in some cases, did not effectively screen out these subpar borrowers and ended up issuing loans to them, leading to higher default rates and lower returns for the lenders. This effect was particularly evident for a specific segment of lenders—namely, those who brokered small-valued loans and loans for necessary purchases (e.g., health emergencies). By contrast, lenders who screened for large-valued loans or loans for discretionary expenditures (e.g., vacations or weddings) were more successful in screening out these subpar borrowers and not issuing loans to them. These results fill a gap in the operations management literature on platform governance by integrating capital-raising objectives into the discussion of access control and operational screening. Our study highlights the nuanced trade-off between quality control and user expansion during capital-raising events, emphasizing both the opportunities and potential inefficiencies that arise in this context.

Keywords

Platform Governance, Access Control, Operational Screening, Peer-to-Peer Lending, IPO Incentives

Date received 11 September 2023; accepted 19 October 2024 after two revisions

Handling Editor: Subodha Kumar

1 Introduction

Peer-to-peer (P2P) platforms are decentralized online marketplaces that directly connect individuals for the exchange of goods, services, or financial transactions without the need for intermediaries. Owing to their decentralized nature, P2P platforms must screen users to determine who can join and use their digital marketplaces. This process is known as *access control* (Chen et al., 2022). For instance, Airbnb enforces access control by barring hosts with unsanitary properties, while Preply, a tutoring platform, only accepts tutors with certified qualifications and high grade point averages (GPAs). Similarly, financial platforms such as Prosper and Funding Circle prevent borrowers with low credit scores from accessing their loan marketplaces. These access control measures are crucial for fostering safe and effective exchanges on the platform, thereby creating trust and reliability within the user base.

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In this article, we hypothesize that when a platform transitions from private to public ownership, its managers are incentivized to relax the platform's access controls before the initial public offering (IPO), allowing otherwise "unqualified" users to enter. This incentive arises because, when valuing a platform before an IPO, stock investors typically emphasize the growth rate of the platform's user base due to network effects (Zhou and Alstyne, 2019). In particular, a platform's value grows exponentially with the number of enrolled users (Belleflamme and Peitz, 2018; Chen et al., 2022), meaning that platforms can enhance their perceived valuation ahead of an IPO by lowering access control standards, thereby attracting many new users. This approach enables the platform to quickly inflate the user base, present a more impressive growth rate, and sell shares at a high price during the IPO. However, this tactic can be detrimental to the platform's existing user base in the long term and may lead to decreased trust and interactions among current users.

Testing this hypothesis in the real world is challenging because it requires data from a platform both before and after its IPO. Additionally, we need a metric to measure the qualifications of each admitted user to accurately assess the access controls imposed by the platform. We also require data from a control group—specifically, a "similar" platform that remained private during the sample period.

To address these challenges, we obtain data from P2P lending platforms. These platforms facilitate direct borrowing and lending between individuals through a loan marketplace: borrowers post loan requests, and lenders fund them. When a loan is brokered, the platform receives an up-front service fee. Subsequently, the borrower repays the principal plus interest to the lender in monthly installments.

We note that if a borrower defaults, the lender bears the loss, as the platform only charges service brokerage fees. Thus, a lending platform always profits, regardless of the loan outcome. This means that, to attract lenders and maintain their trust, the platform must screen out unreliable borrowers. Therefore, lending platforms typically implement strict access control processes, evaluating potential borrowers based on their credit scores, debt levels, income, and employment history.

During the screening process, each potential borrower is assigned a "risk grade" and, based on this grade, an interest rate that ensures a fair risk—return ratio for lenders, with higher-risk borrowers receiving higher interest rates. However, borrowers deemed too risky are denied access, and are thus prevented from entering the loan marketplace.[1]

We obtain and harmonize data from two of the largest P2P lending platforms globally, which dominate the lending market in the country in which they operate.[2] These platforms are ideal for our analysis because they operate under the same jurisdiction, use the same metrics to assess borrowers, and follow similar processes—except for the fact that one platform went public while the other remained private during the sample period. Our harmonized dataset spans 25 months and includes over 500,000 loans brokered by these platforms in the years surrounding the IPO. Each data point includes: (i) borrower characteristics (e.g., credit score, debt levels, annual income, employment history, and geolocation); (ii) loan terms (e.g., amount requested, loan purpose, credit grade, and interest rate); and (iii) repayment terms.

We use a difference-in-differences (DiD) analysis to show that the pre-IPO platform accepted borrowers with abnormally high debt-to-income (DTI) ratios and abnormally low credit scores. When benchmarked against the control group—the platform that remained private—the estimated increase in DTI ranged between 11% and 17%, while the estimated reduction in credit scores ranged between 5.51% and 8.62%.

To ensure that the observed effects are indeed the result of lowered access standards, we analyze the pre-IPO effect across two distinct groups: (i) borrowers accepted with "low-risk" grades (far from the rejection threshold) and (ii) borrowers accepted with "high-risk" grades (near the rejection threshold). As hypothesized, the characteristics of the pool of accepted borrowers changed most significantly near the rejection threshold. During the pre-IPO months, the average DTI of high-risk borrowers increased by 38%–50%, and their credit scores decreased by 21.4%–27.9% compared to the control group. The effect was negligible for those in the low-risk group. These results indicate that the effect was concentrated near the acceptance—rejection threshold, signifying a decline in admission standards and an influx of "subpar" borrowers during the months surrounding the IPO.

How does this influx of subpar borrowers affect the lenders on the platform? Note that an increase in subpar borrowers does not automatically imply that lenders are affected. After all, lenders can decide to whom they issue loans by screening the pool of admitted borrowers. Accordingly, if lenders can correctly screen out these subpar borrowers and avoid issuing loans to them, the change in access standards from the platform would have no material effect.

However, we find that loans issued during the pre-IPO months experienced an abnormal spike in default rates (3%–4%) and a significant drop in return rates (5.0%–5.1%). Specifically, lenders who issued loans to borrowers with "high-risk" grades—near the rejection threshold—saw a much sharper increase in default rates (10.2%–11.9%) and a notable drop in return rates (18%–26%). Thus, our analysis shows that the lenders did not adequately screen out these fringe borrowers and ended up lending money to this group of subpar borrowers. In other words, the platform's relaxed standards led to worse outcomes.

A more nuanced analysis, however, reveals an interesting disparity in outcomes based on the type and size of the loans. Lenders who screened *large* loans or loans requested for *discretionary spending* (e.g., loans for weddings or vacations) were able to effectively identify (and avoid) these subpar borrowers. In contrast, lenders screening *small* loans or financing *necessary expenditures* (e.g., loans for medical emergencies or home repairs) failed to screen out this influx of subpar borrowers and ultimately extended credit to them.

This discrepancy likely stems from the varying levels of scrutiny that lenders apply based on the loan amount and purpose. Larger loans and those for non-essential purposes likely undergo more rigorous screening, as lenders are more cautious. Conversely, smaller loans and those for urgent, essential needs receive more lenient screening, presumably influenced by emotional biases or empathy. Thus, the platform's strategy of relaxing access standards predominantly impacted lenders of smaller, necessity-based loans, highlighting a critical vulnerability in this segment. This finding underscores the selective nature of the fallout from the platform's admission policies, which affected only a portion of the lender population.

These results fill a gap in the operations management (OM) literature on platform governance. Specifically, our study extends previous studies' findings by integrating capital-raising objectives into the discussion of access control and operational screening, illustrating the trade-offs between quality control and user expansion during key financial events. Our study also highlights the need for enhanced regulatory oversight during IPOs and provides a detailed analysis of how relaxed screening standards impact platform users differentially. Finally, our study supports the argument from the recent literature that the IPO disclosure process may need to be revised (Damodaran et al., 2022).

Moreover, as we explain throughout this article, regulators and practitioners can utilize these findings to understand the trade-offs between short-term user base expansion and long-term platform legitimacy. For platform users, particularly on P2P lending platforms, this article highlights the risks associated with relaxed screening standards, especially around IPO events, informing users about potential changes in platform reliability and disparities in outcomes based on loan types and amounts. In the next section, we further discuss our contributions in relation to the existing OM literature.

2 Literature Review

2.1 Access Control in P2P Platforms

P2P platforms aim to create decentralized networks that facilitate the exchange of information, funds, and activities among users. Given their decentralized nature, it is imperative for these platforms to develop screening mechanisms to determine which users are eligible to join (Xu et al., 2017). These mechanisms are formally called *access control* (Chen et al., 2022). Access control is especially important because P2P platforms are susceptible to manipulation, not only by individuals but also by organized industry players, as demonstrated by Lee et al. (2018).

Multiple approaches to governing access control on a platform are available, which can be categorized according to two dimensions: the *symmetry* and *timing* of the screening method. In terms of symmetry, access control can be (i) symmetric, meaning that the same screening processes are applied to all users, or (ii) asymmetric, meaning that different checks are applied to different types of users. For instance, dating and content-sharing platforms typically implement symmetric screening, whereas lending and e-commerce platforms employ asymmetric screening, focusing predominantly on borrowers and sellers, respectively, rather than lenders and buyers. Ke et al. (2024) included a discussion of the impact that symmetric and asymmetric screening exert on service platforms via ratings.

In terms of *timing*, screening can be governed (i) ex ante, meaning users are vetted before joining the platform, or (ii) ex post, where users are screened based on their behavior, after joining the platform, to decide if they can retain access privileges.[3] While most platforms employ both ex-ante and ex-post screening, the business model of the platform dictates the amount of effort dedicated to each type. For instance, Uber and Lyft primarily conduct ex-ante screening through background checks and interviews of prospective drivers, supplemented by ex-post screening based on user ratings. By contrast, lending platforms conduct ex-ante screening to evaluate potential borrowers before approving access to the loan marketplace, while lenders perform ex-post screening to assess each loan request.

While previous research has examined access control mechanisms (Chen et al., 2022; Xu et al., 2017) and identified the vulnerability of P2P platforms to manipulation (Lee et al., 2018), our study uniquely contributes by focusing on the deliberate relaxation of these standards during critical financial events like IPOs, highlighting the tension between short-term user growth and long-term platform stability.

2.2 Three Levels of Access Control

Screening can occur at three different levels, which describe the types of agents that vet platform users for access control.

1. *User-level screening.* Access control is sometimes governed by the users themselves, who screen their peers through ratings or reviews. For instance, hosts or drivers with poor ratings might be automatically banned from platforms such as Airbnb or Uber (Jiang et al., 2023). In P2P lending, users screen to determine which borrowers are creditworthy and thus eligible for a loan. This topic has generated significant research in the OM literature. For example, Wu et al. (2021) presented a theoretical framework highlighting how borrowers may present biased information to appear more creditworthy, thereby affecting lender screening decisions. Lin et al. (2013) investigated how borrowers' friendship networks on these platforms can serve as signals of creditworthiness, potentially reducing information asymmetry between lenders and borrowers and thus improving the efficiency of lender screening. Iyer et al. (2016) demonstrated that individual lenders can effectively use non-traditional data, such as personal narratives and

community interactions, to infer borrowers' creditworthiness, a process termed "soft screening." Wang et al. (2022) studied user screening at the macro level—that is, how lenders screen platforms altogether (as opposed to loans within a platform) to find the most advantageous one.

2. *Platform-level screening.* Screening by platform managers is essential for maintaining the platform's reputation (Lee and Cui, 2024). For instance, platforms often implement verification processes, such as background checks, to detect and ban users. Tang et al. (2021) investigated the platform gender-based screening for ride-sharing systems, while Li et al. (2023) investigated the piracy screening on e-commerce platforms. Ng et al. (2023) addressed the escalating issue of fake content and how platforms can enhance access control to combat this problem. Lu et al. (2021) demonstrated, through a randomized field experiment on a Chinese P2P lending platform, that platforms can reduce default rates by incorporating social media features into their access control processes.
3. *Government-level screening*. Government-mandated screening and regulation are essential to ensuring that P2P platforms operate within legal frameworks. This screening level is necessary to protect consumers, maximize social welfare, and maintain market stability. Government regulation is the most impactful screening level, as it affects all platforms within a given industry. For example, local regulations impact home-sharing platforms such as Airbnb by dictating the types of homes that can be listed in the digital marketplace and the safety checks required from hosts (Chen et al., 2023). Similarly, ride-sharing platforms like Uber and Lyft must comply with government-mandated safety checks during the driver screening processes. In P2P lending, government regulations often cap interest rates through usury laws. See Wei and Lin (2017) and Benjaafar and Hu (2020) for a discussion on how regulation in platforms affects social welfare and market efficiency.

2.2.1 Interaction Between the Three Levels of Screening.

The three layers of screening—user-level, platform-level, and government-level—differ in scope, ease, cost, and efficacy. User-level screening is simple, low-cost, and frequent, but it has a limited scope, impacting only specific user profiles. Platform-level screening, however, is broader and more effective, as platforms can develop algorithms to determine who can access the platform. For example, lending platforms may increase minimum credit scores for borrowers, and tutoring platforms may impose a minimum GPA for tutors, effectively tightening access to their marketplaces. While these measures have far-reaching impacts, they require significant resources and time. Government-level screening is the most extensive layer, affecting access control not just on a single platform but across the entire industry within a jurisdiction. However, this process is slow and complex due to the need for political action.

While studies have focused on the three levels individually, our work examines how platform-level relaxation of standards prior to IPOs interacts with user-level screening (see Section 9 for more details). This strategic approach is an area that remains under-explored, providing insights into how these levels interact dynamically during key financial events.

2.3 Our Hypothesis: The Strategic Relaxation of Access Control Standards

In this article, we argue that when a platform intends to raise capital from the public through the sale of shares—ahead of an IPO—its managers have an incentive to lower the platform's access standards (i.e., to allow otherwise unqualified users). This incentive arises because investors evaluate online platforms differently than they do most companies. On a stock exchange, investors predominantly value a platform by examining the pace at which its user base grows rather than its revenue or profit growth (Zhou and Alstyne, 2019). The emphasis on user base growth is largely attributed to network effects, whereby a service or platform's value increases as more users participate. Network effects are critical for a platform's survival (Belleflamme and Peitz, 2018; Sun et al., 2019), and, thus, understanding these effects is essential to grasping why platforms might resort to lowering their access standards in a bid to boost user numbers.

Network effects can be direct or indirect. Direct network effects occur when a platform's utility increases directly with the number of users; for example, in online dating platforms, the service becomes more valuable as more users join, enabling interaction with a larger network. Indirect network effects arise when the increase in users of one type enhances the value of the platform for users of another type, often observed in two-sided markets where more sellers attract more buyers and vice versa (Wang et al., 2022).[4] Network effects have been documented in content generation platforms (Wei et al., 2021), business-to-business (B2B) platforms (Anderson et al., 2022), business-to-consumer (B2C) platforms (Rajgopal et al., 2003), and P2P platforms (Chu and Manchanda, 2016).

Given the high valuation placed on user base growth, due to network effects, platforms have strong incentives to "window-dress" their prospects ahead of an IPO by rapidly increasing their user base. Window dressing refers to the tendency of managers to inflate their company's valuation ahead of an IPO. Unlike traditional companies, where inflating profit margins or sales figures overnight is challenging, platforms with stringent screening standards can swiftly achieve short-term growth by lowering these standards. This strategy allows the platform to sell its IPO shares at a higher price, maximizing the proceeds from the IPO.

Whereas earlier works (Belleflamme and Peitz, 2018; Zhou and Alstyne, 2019) document the role of network effects in platform success, our paper delves into the unintended consequences of leveraging these effects during IPO periods, particularly how platforms sacrifice long-term stability for immediate growth. This dynamic is rarely addressed in previous research, which tends to focus on the operational aspects of platform governance.

2.4 Contribution to the Existing Literature

By substantiating this hypothesis, our article addresses a gap in the OM literature on platform access control. Historically, this literature has focused on whether platforms should (i) enforce strict access controls to ensure users' quality and legitimacy, at the cost of restricting future growth, or (ii) use lenient standards to expand the user base at the cost of reducing platform value (Chen et al., 2022). In contrast, our article highlights how platforms may strategically lower access standards during specific financial events, such as IPOs.

Recent studies have shifted attention from the "access vs. no access" debate toward middle-ground policies, such as restricted access for certain users or access fees (Dushnitsky et al., 2022; Gawer, 2021; Ghazawneh and Henfridsson, 2013; Hossain et al., 2011). Our contribution differs by focusing on the temporary relaxation of access controls, particularly during IPOs, a period not yet explored in this context. Unlike their focus on balancing long-term governance, we show how short-term financial incentives can drive platforms to deviate from these balanced approaches.

Our findings also complement the work of Wei and Lin (2017) and Benjaafar and Hu (2020), who discuss the importance of regulatory oversight in platform operations. While they call for stricter regulation, particularly at the finance—OM interface, we emphasize that regulatory scrutiny should be heightened during key financial events, like IPOs, when platforms may opportunistically adjust access policies.

Finally, unlike prior research focused on singular user segments (Garg et al., 2024; Wang et al., 2022), our study shows that relaxing access standards during IPOs disproportionately impacts smaller lenders of necessity-based loans, increasing default rates. To our knowledge, this is the first study exploring how temporary shifts in access control policies affect different users segments based on the screening processes.

3 Background: P2P Lending

A P2P lending platform is a digital marketplace that facilitates direct borrowing and lending between individuals without the involvement of traditional financial intermediaries. This lending process follows five stages.

In Stage 1, a borrower submits a loan application. In this application, the borrower selects an amount and a payback period from a list of options. Most platforms offer terms that span one to five years, with monthly repayment installments.

In Stage 2, the platform will evaluate the loan application based on the borrower's income, debt level, employment history, and credit score. The loan request will either be approved or rejected by the platform, via a screening algorithm that is detailed in Section 3.1.

In Stage 3, accepted loan applications are categorized based on the borrower's financial credentials. Typically, platforms utilize multiple risk grades and assign interest rates based on this grading system. In our case, the platforms use five risk grades: *Very Low*, *Low*, *Medium*, *High*, and *Very High* risk.[5] A grade such as *Very Low* entails an interest rate of about 5%, while a high risk grade results in interest rates of about 14%.

In Stage 4, the loan is posted in the platform's marketplace and displayed to the pool of lenders who, depending on their risk appetite, may invest in either low-risk loans, which offer safety, or high-risk loans, which offer high interest rates. If a loan is funded by a lender, it will move to Stage 5.

In Stage 5, the loan will be brokered, and the funds will be transferred to the borrower. At this point, the lending platform will charge two types of intermediary fees: (i) a transaction fee, which is charged to the borrower upfront (amounting from 1% to 6% of the principal amount); and (ii) a service fee, which is charged to the lender after each installment is paid (amounting to about 1% of the installment amount). This payment scheme ensures that a platform will profit from brokering a loan even if the borrower defaults, while lenders face the risk of losing their entire investment.

Interest Rate Caps and Rejection Rates. In finance, high risk is associated with high return. Consequently, lending platforms could theoretically accept every borrower and adjust interest rates to reflect the risk profile of each user and the expected return. However, P2P lending platforms are constrained by interest rate caps established by usury laws, which set the maximum permissible interest rates. Exceeding these rates renders a loan illegal and void.[6] Accordingly, platforms usually exclude individuals whose risk profiles would require interest rates above these legal limits, according to platforms' screening algorithms. Thus, this limitation is a primary driver of rejection rates in P2P lending platforms.

3.1 Borrower Screening Algorithms

On P2P lending platforms, the selection, risk categorization, and rejection of borrowers are driven by proprietary algorithms, which assess borrower creditworthiness. In particular, the mechanics of these algorithms follow a multi-stage process that flows as follows:

1. *Data preprocessing.* The algorithm ingests borrower data, including credit scores, DTI, employment status, and historical financial behavior. This stage involves feature engineering, whereby raw data is transformed into more informative indicators through normalization and categorization.
2. *Model selection and training.* A predictive model discerns patterns indicative of borrower reliability. Depending on the platform, this could range from logistic regression, which is standard for binary outcomes like loan default

or repayment, to more complex approaches such as gradient boosting machines or neural networks (see, e.g., Cohen et al., 2018).

3. *Feature importance and weighting.* The algorithm fine-tunes the model by determining the importance of each feature. For instance, a random forest model provides insights into feature importance, aiding in identifying which variables are most predictive of a borrower's likelihood of defaulting. This process iteratively adjusts the weights or coefficients assigned to each feature to minimize prediction error.
4. *Risk prediction and decision making.* Once trained, the algorithm applies the predictive model to new loan applications, estimating the default probability. The decision to approve a loan, along with the determination of interest rates and terms, is then based on this calculated risk. Typically, a threshold is set whereby loans are approved if the predicted probability of default is below a certain level. Approved applicants are then categorized into grade buckets, depending on their risk profile.
5. *Model evaluation and iteration.* The model is dynamically evaluated. Over time, as more data on loan performance are collected, the model undergoes retraining or fine-tuning to incorporate new insights and improve its predictive power. This iterative process is essential for adapting to changes in economic conditions, borrower behavior, and market dynamics.

3.2 Why Focus on Lending Platforms?

We hypothesize that a P2P platform may strategically relax its access control standards prior to an IPO, thereby allowing otherwise unqualified users to access the platform. While this hypothesis is applicable to multiple industries, not all platforms are suitable for testing it. In some industries, for instance, platforms do not screen for access control, thus falling outside the scope of our article. In other cases, platforms employ subjective screening methods. For instance, Airbnb Adventures requires applicants to make a video pitch for evaluation. Similarly, Tutor.com vets aspiring tutors based on a live interview. Other industries simply lack any data on which to base the acceptance or rejection of an applicant. This makes it impossible to perform a satisfactory data study.

To test our hypothesis, we thus need to find platforms that satisfy four criteria: (1) collect user-level data; (2) screen users based on objective standards; (3) can effectively increase the number of users by relaxing their access control standards; and (4) release data that allow us to evaluate the impact of a screening policy.

P2P lending platforms are ideal for our study, as they meet all four criteria. First, they collect extensive user-level data, including loan terms, borrower characteristics, and repayment histories, which are often disclosed due to regulatory requirements and demands for transparency from media, investors, and regulators. Second, these platforms screen users based on quantifiable financial metrics, such as credit scores and DTI ratios. Third, P2P lending platforms can effectively increase their user bases by relaxing their screening standards, as evidenced by their high rejection rates; our data indicate that these platforms typically maintain a rejection rate above 80%, meaning that they reject thousands of loan requests daily. Fourth, these platforms release data on loan defaults, which allows us to objectively evaluate the impact of their screening policies.

3.2.1 The Intervention and Control Populations. To run our analysis, we must identify (i) an intervention population—namely, a platform that has transitioned from private to public ownership; and (ii) a control population, which includes a "similar" platform that has remained private. In selecting these populations, it is essential to make a consistent comparison, for example, by avoiding comparisons between platforms that broker different types of loans, operate in contrasting economic conditions, or are governed by different regulatory frameworks. For this reason, cross-jurisdictional comparisons (e.g., comparing platforms in different countries) are complicated due to varying data protection regulations. Some jurisdictions, for example, prohibit publishing a borrower's DTI ratio, while others do not include credit scores in public records. Additionally, differing economic conditions in each country make it challenging to meet the parallel trends assumption. These complexities required us to focus on platforms within the same country for our analysis.

We choose two platforms to run our study, which we call Platform P_1 (intervention) and Platform P_0 (control). Upon studying the P2P lending industry, it becomes clear that these two platforms are the best choices for our intervention and control populations, respectively. Despite superficial differences and the fact that Platform P_1 has a larger user base, these platforms undergo the same operational model and operate under identical conditions. In particular, both P_1 and P_0 focus on personal loans (ranging from \$1,000 to \$50,000 USD equivalent), operate within the same geographic jurisdiction, adhere to the same industry regulations, and compete for the same customer segments. Their borrower screening processes are similar, utilizing the same metrics, relying on the same credit scoring company, and classifying borrowers into similar risk grade buckets. Furthermore, both platforms offer identical loan terms, payment plans, installment terms, and interest rates, and display comparable information in their loan marketplaces. It is worth noting that no other significant players are present in the country in which they operate (i.e., these two platforms cover the majority of the market share for personal loans). Moreover, a review of their access control policies reveals that they have the same screening approach, with identical steps and questionnaires used during the screening process. The sole distinguishing factor between the two platforms is that P_1 transitioned from private to public ownership while P_0 did not. Moreover, a data-driven analysis (in Section 5) shows that P_1 and P_0 had highly balanced samples prior to the intervention and are thus well suited for a vis-á-vis econometric analysis.

3.2.2 Why Did P_1 Go Public and P_0 Did Not?. Despite being remarkably similar competitors, P_1 decided to go public while P_0 opted to remain private. This decision was not driven by financial differences or legal restrictions, but rather by differences in managerial style. In fact, both platforms had remarkably similar financial health indicators and, drawing on news sources, we can see that both considered going public during the same time period. However, P_1 favored expansion and growth, by a board dominated by venture capitalists aiming for growth, technological advancement, and liquidity for stakeholders, whereas P_0's preference to remain private was a deliberate management style choice, emphasizing control and strategic flexibility over the immediate capital influx offered by public markets.

4 Data

4.1 Variables

Both P_1 and P_0 provide data on various metrics, but their datasets use inconsistent nomenclature and formatting. For instance, the variable names often differ, and the measurement units are disparate. To address this, we harmonize the variables across all overlapping metrics and then merge the datasets into a two-year panel of all loans issued up to the IPO, removing incomplete or corrupt entries. Initially, our dataset comprised 601,394 loan records. After data cleansing, the refined database contained 595,667 loans (64% of which come from P_1). However, since one of the platforms only includes data starting at $T-18$, that is, from 18 months before the IPO, we were only able to go back 18 months in the panel for our DiD regressions. Therefore, we only use 526,148 observations for the analysis. Each loan record includes detailed information on (i) borrower attributes, (ii) loan characteristics, and (iii) loan repayment status.

4.1.1 Borrower Attributes. The dataset includes a comprehensive set of borrower attributes, including:

- AnnualIncome. Encompasses all sources of income, providing a measure of financial inflow.
- EmploymentLength. Quantifies the duration of the borrower's current employment in years, or indicates unemployment status at the time of the loan application.
- FinancialBalance. Represents the borrower's financial assets, excluding any mortgage balance.
- MortgageBalance. Represents the outstanding balance on the borrower's mortgage.
- HomeOwnershipStatus. Indicates whether the borrower owns a home or is renting.
- GeographicLocation. Includes the borrower's residential information at the provincial level.
- CreditScore. A measure that evaluates payment history, length of credit history, and recent credit inquiries. For interpretability, we normalize the credit scores to range between 1 and 100.
- Debt-to-Income Ratio. Calculates the amount of debt relative to the borrower's income at the time of the application, offering insights into the borrower's debt management capabilities.

4.1.2 Loan Terms. The dataset includes the following metrics for each loan listing:

- LengthTerm. The loan duration in months.
- LoanAmount. The total amount of money requested.
- RiskGrade. Loan risk is broadly categorized into five main risk grades, indicating the risk level of the borrower profile: VeryLow, Low, Medium, High, and VeryHigh.
- InterestRate. The interest rate assigned to the borrower based on their credit grade. By law, these rates cannot exceed the rates established by usury laws (maximum established rates).
- LoanPurpose. The reason for the loan, which spans 20 categories, such as medical expenses, wedding bills, and home improvements. There are two broad purposes for a loan: necessary expenditures (e.g., medical bills, home repairs, or funeral expenses) and discretionary spending (e.g., vacations or wedding).
- LoanRepaymentStatus. Each loan is marked as either Fully Paid or Charged Off. Charged Off indicates that the loan is unlikely to be repaid, typically if a payment is overdue by more than 150 days. We also record any late fees accrued.

Additionally, our dataset includes details about the lenders—whether they are individuals or consortia—and the amounts they contribute, along with amortization periods.

4.2 Outcome Variables

Our goal is to determine how the intervention—the transition from private to public ownership—affected (i) the platform's screening standards and, subsequently, (ii) how these altered standards impacted the outcomes of issued loans.

To measure the screening standards, we consulted with industry professionals, who agreed that two variables are critical in evaluating a loan request:

- DTI. The applicant's ratio of total debt to annual income.
- CreditScore. The borrower's credit score, which reflects the likelihood that the debts will be repaid based on an applicant's credit history. It is calculated by an external centralized company that is unaffiliated with either of the platforms (e.g., similar to the Fair Isaac Corporation (FICO) in the United States).

Moreover, to evaluate the outcomes of the intervention on the lenders, we use two key metrics:

- Default. At the time this article was written, all loans had reached the end of their terms in our sample. Consequently, each loan is categorized as either *Fully Paid* or *Charged Off*.
- Return. We measure the loan's annual return at time t via the canonical accounting formula, where $\text{Return}_t = p - f/f \times 12/t$. Here, f represents the total funded amount of the loan, p is the total amount recovered from the loan, and t is the term length of the loan in months.

4.3 Intervention Date

We possess data for loans issued between 18 months before the IPO and the IPO itself, which floated at time T (i.e., between $T-18$ and T).[7] Thus, T represents the culmination of the platform's transition from private to public. Officially, P_1 filed its IPO four months before the actual stock market debut ($T-4$), but its transition plans were made public eight months prior ($T-8$), as reported by Factiva and *The Wall Street Journal*. The gap between these periods results from bureaucratic delays and legal checks characterizing an IPO filing. However, the platform presumably spent months planning prior to issuing this announcement.

Given that it is impossible to know with certainty when the company began changing its access standards, we will use three intervention periods for our baseline results. The first, $T-4$, assumes the platform began shifting its access standards the day the IPO was filed. The second, $T-8$, assumes the process started the day the first public rumor was made. The third, $T-12$, assumes the platform began actively strategizing one year ahead of the IPO filing (meaning that the rumor was concealed for various months). We shall refer to these as the *Short*, *Medium*, and *Long* intervention windows, respectively.[8] This approach allows for an exhaustive examination of treatment date possibilities and allows us to pinpoint how the change in access standards (if any) evolved across the timespan. Moreover, in the e-companion, we provide results for eight different intervention windows within this span, showing that our results hold strongly for any of these periods, indicating a clear treatment effect during this time range.[9]

5 Econometric Analysis: Difference-in-Differences

We use a DiD approach to benchmark the intervention group against the control group. Before running this analysis, however, we demonstrate that the two groups satisfy the key assumptions of a DiD analysis: (i) parallel trends and (ii) distributional balance.

5.1 DiD Assumptions

5.1.1 The Parallel Trends Assumption. In a DiD estimation, the two platforms can differ provided that their trends, should no intervention have occurred, would have remained identical over time. Specifically, the outcome variable trends must be parallel across the panel. We examine this assumption by analyzing the pre-treatment trends (illustrated in Figure 1). Visually, these trends appear to converge, supporting the assumption. Additionally, we assess the parallel trends assumption through a numerical lead-lag test in the e-companion (Appendix B of the E-Companion). This test strongly supports the parallel trends assumption based on our data.

5.1.2 Distributional Balance. We can bolster our causal argument by showing that the distributions of the covariates were similar across the two platforms before the intervention. This is evident from the data in Table 1, which analyzes these characteristics for loans issued one year before P_1's transition period. We provide evidence of balance using three key statistics: balance of means, variances, and cumulative distributions.

First, for *means* balance, we calculate the standardized bias for each covariate. This measures the difference in means between P_1 and P_0, divided by the pooled standard deviation. According to Stuart et al. (2013), an adjusted standardized difference below 0.1 is ideal. Table 1 confirms that all variables meet this criterion.

Second, for *variances* balance, we use Rubin's variance ratio test to compare the distributions' variances. We place the largest variance in the numerator to ensure the ratio is bounded below by one, with a ratio below two being desirable (Rubin, 2001). Table 1 shows that our sample's variance ratios are all significantly smaller than two.

Third, for *cumulative distributions* balance, the Kolmogorov-Smirnov statistic measures the maximum distance between the cumulative distribution functions of the treatment and control groups. A value below 0.1 is recommended, and Table 1 indicates that all covariates meet this recommendation.

These tests confirm the statistical resemblance of the two platforms, indicating that they had not only parallel trends but also nearly identical covariate balance. Thus, they are well suited to DiD analysis.

5.2 DiD Models

Having established the two groups' reliability, we proceed to benchmark P_1 and P_0 via DiD estimation. To be more precise, we run two DiD models: a baseline model and a matched DiD model that pairs "twin observations." In the E-Companion, we re-run our estimates for a third model, namely, a spillover-robust DiD estimator that accounts for cross-platform spillovers.

5.2.1 Model 1. Baseline DiD. Our first model is a classic DiD estimator, which stems out of the following linear-in-means

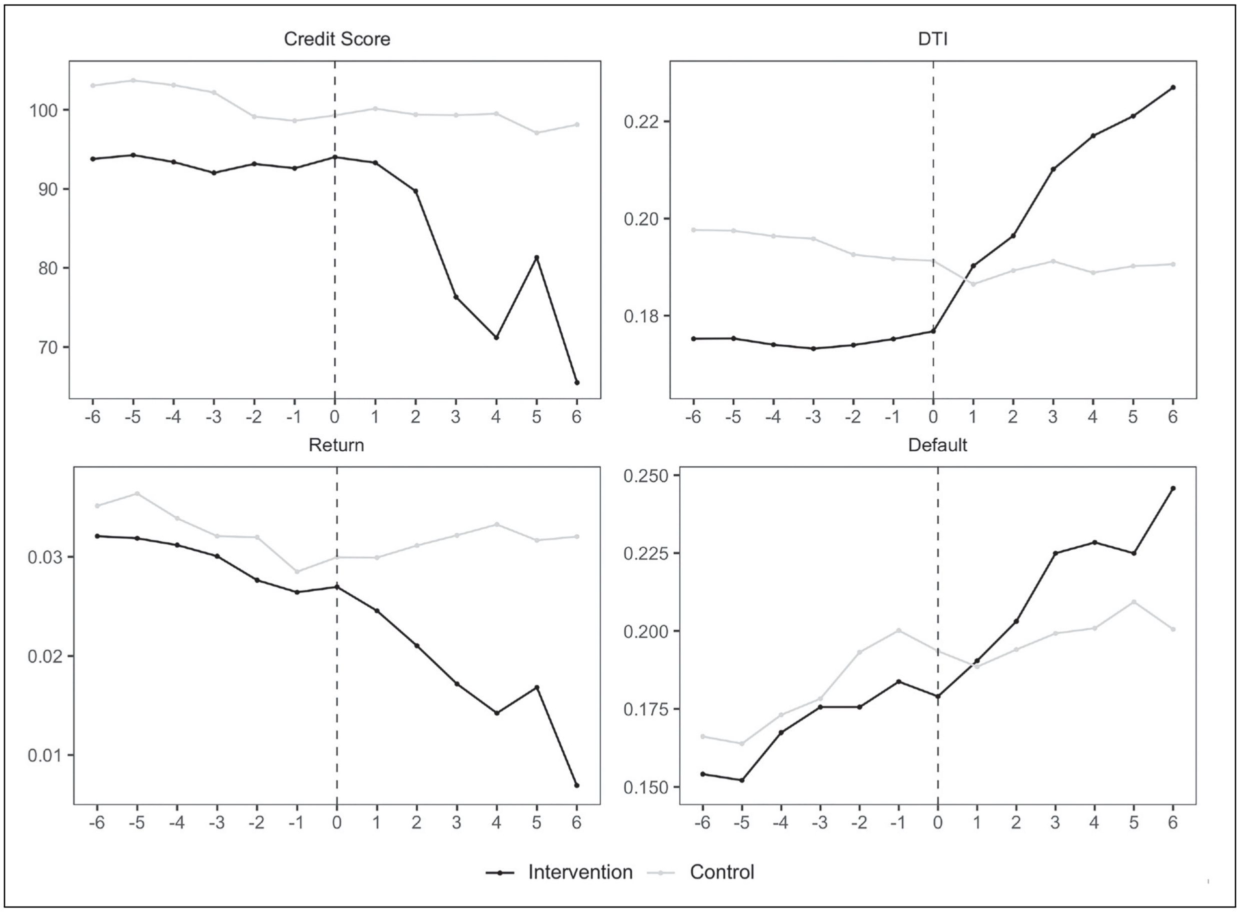

Figure 1. Parallel trends plots. Notes: This figure investigates the parallel trends assumption by examining the pre-treatment trends in each of the four dependent variables. Loans from P_1 form the intervention group, while loans from P_0 form the control group. The horizontal axis represents the number of months prior to and after the intervention period. For this figure, the intervention period is $T-8$ (Medium), and is identified by the vertical dashed line at 0.

Table 1. Summary statistics (before intervention) and test of distributional differences.

	Balance tests		
Variable	Std. means diff.	Variance ratio	K-S statistic
AnnualIncome	0.02	1.07	0.01
FinancialBalance	0.00	1.06	0.04
MortgageBalance	0.01	1.12	0.08
RevolvingBalance	0.01	1.01	0.04
CreditScore	0.00	1.18	0.02
LengthTerm	0.01	1.08	0.03
LoanAmount	0.00	1.04	0.04
InterestPaid	0.01	1.05	0.04
Default	0.03	–	0.02
EmploymentLength (years)	0.00	1.28	0.02
Debt-to-Income-Ratio	0.03	1.20	0.03

Notes. This table presents summary statistics for loan covariates, in addition to the test of distributional differences for each of them. Note that the variance ratio statistic is only applicable for continuous variables. For this reason, we do not estimate this ratio for the binary variable Default.

specification:

$$Y_{it} = \underbrace{\alpha_t}_{\text{Time fixed effects}} + \underbrace{\beta \text{Platform}_i}_{\textit{Platform dummy}} + \underbrace{\rho \text{Intervention}_t}_{\textit{Intervention dummy}} + \underbrace{\tau(\text{Platform}_i \cdot \text{Intervention}_t)}_{\textit{DiD estimate}} + \underbrace{\delta X_{it}}_{\textit{Controls}} + \underbrace{\varepsilon_{it}}_{\textit{Error term}}, \quad (1)$$

where $Y_{it} = \{\text{Return}_{it}, \text{Default}_{it}, \text{CreditScore}_{it}, \text{DTI}_{it}\}$ is the outcome variable of loan i in period t.[10] The term α_t is a vector of time fixed effects, $\text{Platform}_i = 1$ if the loan was brokered by P_1 and 0 if it was brokered by P_0. The variableIntervention$_t$ indicates whether the observation was recorded after the intervention date.[11]

The term X_{it} is a vector of controls. When using DiD models, it is crucial to avoid including covariates that are sensitive to the treatment, such as a borrower's annual income or mortgage balance, as this can violate the joint independence assumption and render estimates invalid. Thus, we include only covariates invariant to the treatment. Specifically, we include the loan's term length, purpose, investment type, requested amount, the borrower's geographic location, and credit grade—all of which are invariant to the intervention. Moreover, we only use covariates observed when the borrower submitted a loan request. For instance, it would not be reasonable to use a "term length" as a covariate when using DTI and CreditScore as dependent variables, because the platform screens borrowers before they choose a term length.

In specifying the error term, we note that serial correlation presents a significant issue in DiD models. To mitigate this issue, we employ the bootstrap error correction suggested by Cameron et al. (2008).

5.2.2 Model 2. Matched DiD. One concern that arises in relation to DiD estimators is the potential for changes in the composition of groups over time, which may not be captured in the error term. For example, if P_1 and P_0 attract customers from different geographic regions or during different times of the year due to various promotional campaigns or changes in regional economic conditions, this could lead to seasonal fluctuations in borrower characteristics and, consequently, in both groups' loan performance. Propensity score matching addresses this type of bias, making it a suitable strategy to use alongside DiD estimation. To this end, we adopt the methodological approach suggested by Stuart et al. (2014), which provides guidance on combining these two techniques. This approach involves four steps:

1. *Split the sample*. We split the sample by categorizing observations into one of four groups based on two criteria: whether the observation belongs to the treatment group ($\text{Platform}_i = 1$) or the control group ($\text{Platform}_i = 0$), and whether it is recorded before the intervention window ($\text{Intervention}_t = 0$) or during this window ($\text{Intervention}_t = 1$). This results in four disjoint groups defined by the combinations of ($\text{Platform}_i, \text{Intervention}_t$). As such, we have four groups: $\{G_1, G_2, G_3, G_4\} = \{(1,0),(1,1),(0,0),(0,1)\}$.
2. *Estimate the sample probability matrix*. Let $\pi = [\pi_k(Z_i)]_{k=1,2,3,4;\, i=1,2,\ldots,N}$, where $\pi_k(Z_i)$ denotes observation i's probability of belonging to Group G_k, given covariate vector Z_i. This vector includes all treatment-invariant covariates (note that $\sum_{k=1}^{4} \pi_k(Z_i) = 1$). We estimate these probabilities by fitting a multinomial logistic regression on $Z = [Z_1, \ldots, Z_N]$.
3. *Estimate the weight vector.* We find the weight vector $w = [w_1, \ldots w_N]$, which balances all groups across all covariates in Z. The purpose of this vector is to remove biases across the four groups caused by differences in the distributions of the covariates. To achieve this balance, we calculate the weights such that each group is weighted relative to G_1—that is, $w_i = \pi_1(Z_i)/\pi_{k^*}(Z_i)$, where k^* is the group that observation i belongs to. Thus, all observations in Group 1 receive a weight of 1, whereas loans in other groups receive a weight that is proportional to the probability of being in G_1 relative to their being in the group they are in.
4. *Use w to fit a weighted DiD estimator.* For a given outcome variable, Y_{it}, let $\psi_k \equiv \left(\sum_{i=1}^{N} \mathbf{1}_{\{i \in G_k\}} Y_{it} w_i\right) \left(\sum_{i=1}^{N} \mathbf{1}_{\{i \in G_k\}} w_i\right)^{-1}$. Thus, by plugging w and the fitted regression of equation (1), we retrieve a consistent treatment effect that accommodates biases due to changes in the composition of the platform users.

The success of our matching technique relies on the proviso that the mean and variance of every matching covariate in every weighted group pair should be balanced. Prior to running our analysis, we measured the balance of the means for every covariate $z \in Z$ and group pair, k and k', with the standardized bias formula. As shown in Section 5.1, the balancing tables suggest that the distributions are balanced across all four groups.

6 Results

Table 2 presents the regression estimates for models that use CreditScore_{it} and DTI_{it} as the dependent variables. Similarly, Table 3 shows the estimates for regressions that use Return_{it} and Default_{it} as the dependent variables. Each regression stems from a given DiD model (baseline or matched) and uses either a long, medium, or short intervention window, for a total of six specifications for each variable.

The estimates are consistent with our hypothesis. During the pre-IPO window, P_1 admitted borrowers who had, on average, significantly lower credit ratings and a higher DTI. The downward drift of credit scores, across all specifications, ranges between 5.51% and 8.62% (when benchmarked against P_0's trend). Meanwhile, the upward drift of their DTI ranges between 11% and 17%, relative to the control group's trend. Our results also show that the performance trend of

Table 2. Model estimates: CreditScore and DTI.

Specification	I	II	III	IV	V	VI	VII	VIII	IX	X	XI	XII
Platform · Intervention	−8.62***	−7.22***	−6.03***	−7.85***	−6.60***	−5.51***	0.11***	0.17***	0.11***	0.11***	0.11***	0.10***
	(0.25)	(0.23)	(0.02)	(0.25)	(0.24)	(0.23)	(0.06)	(0.06)	(0.03)	(0.01)	(0.01)	(0.01)
Platform	−8.18***	−9.74***	−11.11***	−8.83***	−10.22***	−11.48***	−0.24***	−0.18***	−0.13***	−0.05***	−0.03***	−0.01***
	(0.21)	(0.19)	(0.16)	(0.22)	(0.19)	(0.17)	(0.05)	(0.05)	(0.00)	(0.01)	(0.00)	(0.01)
Intervention	−0.56***	−2.38***	−3.90***	−1.09***	−2.78***	−4.22***	−0.26***	−0.17***	−0.12**	−0.06***	−0.05***	−0.04***
	(0.22)	(0.21)	(0.20)	(0.22)	(0.21)	(0.21)	(0.06)	(0.05)	(0.05)	(0.01)	(0.01)	(0.01)
Dependent Variable				CreditScore						DTI		
DiD model		*Baseline*			*Matched*			*Baseline*			*Matched*	
Intervention Window	*Long*	*Medium*	*Short*	*Long*	*Medium*	*Short*	*Long*	*Medium*	*Short*	*Long*	*Medium*	*Short*
Observations	*526,148*	*526,148*	*526,148*	*497,820*	*497,820*	*497,820*	*526,974*	*526,974*	*526,974*	*498,448*	*498,448*	*498,448*

Notes: This table displays the DiD estimates for the dependent variables CreditScore and the debt-to-income ratio. For each variable, we present estimates for (i) a baseline DiD model and (ii) a matched DiD model following the methodological approach by Stuart et al. (2014). We also present the estimates using the three alternative intervention windows Long, Medium, and Short. Standard errors in parentheses. DTI = debt-to-income; DiD = difference-in-differences. Significance levels: 1%***, 5%**, 10%*.

Table 3. Model estimates: Return and Default.

Specification	I	II	III	IV	V	VI	VII	VIII	IX	X	XI	XII
Platform · Intervention	−0.05***	−0.05***	−0.05***	−0.05***	−0.05***	−0.05***	0.04***	0.04***	0.03***	0.04***	0.04***	0.03***
	(0.00)	(0.00)	(0.00)	(0.00)	(0.00)	(0.00)	(0.02)	(0.02)	(0.01)	(0.02)	(0.01)	(0.01)
Platform	−0.04***	−0.04***	−0.05***	−0.04***	−0.04***	−0.05***	0.21***	0.24***	0.31***	0.20***	0.24***	0.31***
	(0.00)	(0.00)	(0.00)	(0.00)	(0.00)	(0.00)	(0.02)	(0.01)	(0.01)	(0.02)	(0.01)	(0.01)
Intervention	−0.02***	−0.02***	−0.03***	−0.02***	−0.02***	−0.02***	0.09***	0.13***	0.18***	0.09***	0.14***	0.18***
	(0.00)	(0.00)	(0.00)	(0.00)	(0.00)	(0.00)	(0.02)	(0.01)	(0.01)	(0.02)	(0.02)	(0.01)
Dependent Variable				Return						Default		
DiD model		*Baseline*			*Matched*			*Baseline*			*Matched*	
Intervention Window	*Long*	*Medium*	*Short*	*Long*	*Medium*	*Short*	*Long*	*Medium*	*Short*	*Long*	*Medium*	*Short*
Observations	*527,059*	*527,059*	*527,059*	*498,510*	*498,510*	*498,510*	*527,059*	*527,059*	*527,059*	*498,510*	*498,510*	*498,510*

Notes: This table displays the DiD for each grade level, for the dependent variables Return and Default. For each variable, we present estimates for (i) a baseline DiD model and (ii) a matched DiD model following the methodological approach by Stuart et al. (2014). We also present the estimates using the three alternative intervention windows Long, Medium, and Short. Standard errors in parentheses. DTI = debt-to-income. Significance levels: 1%***, 5%**, 10%*.

loans issued by P_1 worsened, relative to P_0's trend, during the pre-IPO window. The regression estimates indicate that the default rate likelihood increased by 4% to 5%, whereas the return rate decreased by 5%, relative to P_0's trend. All estimates are statistically significant at the 1% level, across all 24 regressions.

Moreover, to ensure our findings are reliable, we conduct several checks detailed in the E-Companion (Appendix A), which include using various panel lengths, applying alternative error-term adjustments, and using different matching techniques. Despite slight numerical differences, the overall conclusions remain consistent across all tests.

Managerial Implications. To put our result into perspective, suppose that a portfolio manager invested $\$100,000$ in a (diverse) portfolio of loans. Would this manager be better off choosing P_1 or P_0? The answer to this question changes, rather dramatically, depending on the timing of the investment. If the manager had made this investment before the IPO transition window, for the most part, the platform choice would have been irrelevant. Our estimates show that an investment at P_0 would have yielded marginally better returns, a \$241–\$382 surplus, to be precise (albeit a statistically insignificant difference). However, P_1's borrowers would have defaulted 0.30%–0.87% less often according to our estimates. Thus, P_0 borrowers were less likely to pay the loan in full, but those who defaulted did so earlier when borrowing at P_1. Had the manager made the investment during the pre-IPO window, however, P_0 would have been a significantly better choice in terms of both returns and default rates. Our estimates show that a $\$100,000$ investment at P_0 during the pre-IPO months would have yielded $\$5,123$–$\$5,381$ more than it would have if invested at P_1. Moreover, the likelihood of a default would have been 1.7%–3.9% lower at P_0. These are non-trivial differences in a loan portfolio choice.

The effectiveness of screening procedures in P2P lending at the loan issuance stage is a prevalent topic in the OM literature. Researchers, including Liu et al. (2020), Du et al. (2020), Lu et al. (2021), and Deng et al. (2023), emphasize that lenders' ability to screen is the main determinant of loan outcomes. These studies generally assume that delinquency rates are primarily influenced by lenders' skills and the information that is readily available to them. Our findings show that lenders' accuracy can decline when firms alter access control standards suddenly. In fact, platforms might prioritize maximizing loan issuance over controlling delinquency rates, particularly around key financial events such as IPOs. Our data suggest that investors often fail to notice unexpected shifts in loan risk grades, leading to financial losses.

7 The IPO Effect Across Loan Grades

The estimates detailed in Section 6 do not directly indicate that P_1 relaxed its screening standards. In theory, the results detailed in the preceding section arguably reflect an outflow of "reliable" borrowers rather than an inflow of unreliable borrowers, as these results measure *averages* within the platform. In other words, one might argue that the platform did not admit more unreliable borrowers but, rather, that fewer reliable borrowers submitted their applications.

To demonstrate that P_1 indeed lowered its screening standards, it is imperative to examine the intervention's impact across the distribution of loan grades.[12] Platform P_1 classifies "accepted" borrowers based on their creditworthiness using risk grades. The most creditworthy borrowers (i.e., VeryLow or Low risk) possess superior credentials and are unlikely to face rejection. Conversely, borrowers with the riskiest profiles (i.e., High or Very High risk) possess barely acceptable credentials and are close to the rejection threshold. Borrowers whose risk profile would demand an interest rate above the legal caps are rejected from platforms.

Thus, if P_1 genuinely relaxed its screening standards, the treatment effect should be most pronounced among the riskiest grades, meaning that the platform broadened its acceptance threshold. To assess the treatment effect across each of P_1's grades, we decompose our estimates using a heterogeneous DiD estimator. Tables 4 and 5 present the estimates for each grade level, and Figure 2 illustrates these estimates. Owing to space limitations, the tables present only the DiD coefficient estimates. Our findings reveal that while the treatment effect is statistically insignificant across loans with the top grade, it becomes amplified and more statistically significant at the lower tiers of the grading scale. Particularly noteworthy are the estimates for Default and Credit Score, which exhibit a pronounced increase in the lowest grades.

Managerial Implications. These results indicate that lenders who routinely invested in safe loans (i.e., those with the lowest risk grades) did not see significant changes in returns due to the potential of an IPO. Conversely, those who invested in high-risk loans faced substantial financial setbacks, with a 10.2%–11.9% increase in default rates and a 18%–26% reduction in returns, compared to the control group. For portfolio managers, this has important implications. The financial landscape generally includes two segments of lenders: (i) those favoring safe investments, and (ii) those preferring high-risk, high-reward investments. Risk-averse investors typically choose top-graded loans for modest but secure returns, while risk-seeking investors allocate capital to bottom-graded loans with high interest rates. Our findings should serve as a caution to high-risk investors in the P2P lending market. Our research shows that engagement with lending platforms preparing for an IPO can increase the risk of already risky investments, making favorable outcomes less likely.[13]

8 Extension I. Synthetic Controls

As an alternative to our baseline model, we use synthetic control matching, which addresses time-varying heterogeneity and employs a data-driven approach to select intervention

Table 4. DiD estimates by loan grade: CreditScore and DTI.

Loan Risk Grade	I	II	III	IV	V	VI	VII	VIII	IX	X	XI	XII
VeryLow	−3.99	−2.37	−2.67	−3.29	−1.88	−2.31	0.03	0.01	0.06**	0.03***	0.03***	0.02
	(2.50)	(2.45)	(2.41)	(0251)	(2.46)	(2.42)	(0.03)	(0.03)	(0.03)	(0.01)	(0.01)	(0.02)
Low	−3.90***	−3.88***	−4.95***	−3.52***	−3.50***	−4.55***	0.07***	0.08***	0.09***	0.07***	0.08***	0.09***
	(0.45)	(0.42)	(0.38)	(0.46)	(0.42)	(0.39)	(0.00)	(0.00)	(0.00)	(0.00)	(0.00)	(0.00)
Medium	−7.00***	−7.23***	−7.42***	−6.62***	−6.86***	−7.13***	0.10***	0.11***	0.11***	0.10***	0.11***	0.11***
	(0.44)	(0.41)	(0.39)	(0.45)	(0.42)	(0.40)	(0.01)	(0.01)	(0.01)	(0.01)	(0.01)	(0.01)
High	−16.19***	−11.00***	−8.73***	−15.67***	−10.74***	−8.69***	0.19***	0.15***	0.13***	0.19***	0.15***	0.13***
	(0.67)	(0.64)	(0.60)	(0.70)	(0.67)	(0.62)	(0.02)	(0.02)	(0.02)	(0.02)	(0.02)	(0.02)
VeryHigh	−21.46***	−23.85***	−27.97***	−20.69***	−22.78***	−26.90***	0.42***	0.40***	0.38***	0.50***	0.46***	0.43***
	(0.81)	(0.76)	(0.73)	(0.83)	(0.79)	(0.75)	(0.13)	(0.13)	(0.13)	(0.14)	(0.14)	(0.13)
Dependent Variable			CreditScore						DTI			
DiD model		*Baseline*			*Matched*			*Baseline*			*Matched*	
Intervention Window	*Long*	*Medium*	*Short*	*Long*	*Medium*	*Short*	*Long*	*Medium*	*Short*	*Long*	*Medium*	*Short*

Notes: This table displays the DiD estimates for each grade level, for the dependent variables CreditScore and the debt-to-income ratio. For each variable, we present estimates for (i) a baseline DiD model and (ii) a matched DiD model following the methodological approach by Stuart et al. (2014). We also present the estimates using the three alternative intervention windows Long, Medium, and Short. Standard errors in parentheses. DTI = debt-to-income; DiD = difference-in-differences. Significance levels: 1%***, 5%**, 10%*.

Table 5. DiD estimates by loan grade: Return and Default.

Loan Risk Grade	I	II	III	IV	V	VI	VII	VIII	IX	X	XI	XII
VeryLow	−0.02*	−0.02*	−0.02*	−0.02*	−0.02	−0.02*	0.13***	0.15***	0.09***	0.14***	0.16***	0.10***
	(0.01)	(0.01)	(0.01)	(0.01)	(0.02)	(0.01)	(0.05)	(0.04)	(0.04)	(0.05)	(0.04)	(0.04)
Low	−0.05***	−0.07***	−0.07***	−0.05***	−0.07***	−0.07***	0.31***	0.36***	0.38***	0.30***	0.35***	0.37***
	(0.00)	(0.00)	(0.00)	(0.00)	(0.00)	(0.00)	(0.04)	(0.04)	(0.03)	(0.04)	(0.04)	(0.03)
Medium	−0.06***	−0.07***	−0.07***	−0.06***	−0.07***	−0.07***	0.29***	0.34***	0.36***	0.30***	0.33***	0.36***
	(0.00)	(0.00)	(0.00)	(0.00)	(0.00)	(0.00)	(0.04)	(0.03)	(0.03)	(0.04)	(0.03)	(0.03)
High	−0.13***	−0.10***	−0.08***	−0.13***	−0.10***	−0.09***	0.72***	0.54***	0.45***	0.71***	0.54***	0.48***
	(0.00)	(0.00)	(0.00)	(0.00)	(0.00)	(0.00)	(0.05)	(0.05)	(0.04)	(0.05)	(0.05)	(0.05)
VeryHigh	−0.18***	−0.21***	−0.25***	−0.19***	−0.22***	−0.26***	1.02***	1.16***	1.14***	1.07***	1.19***	1.17***
	(0.01)	(0.01)	(0.01)	(0.01)	(0.01)	(0.01)	(0.07)	(0.06)	(0.06)	(0.07)	(0.07)	(0.06)
Dependent Variable			Return						Default			
DiD model		*Baseline*			*Matched*			*Baseline*			*Matched*	
Intervention Window	*Long*	*Medium*	*Short*	*Long*	*Medium*	*Short*	*Long*	*Medium*	*Short*	*Long*	*Medium*	*Short*

Notes: This table displays the DiD estimates for each grade level, for the dependent variables Return and Default. For each variable, we present estimates for (i) a baseline DiD model and (ii) a matched DiD model following the methodological approach by Stuart et al. (2014). We also present the estimates using the three alternative intervention windows Long, Medium, and Short. Note that Default is scaled by 10 for illustrative purposes. Standard errors in parentheses. DiD = difference-in-differences. Significance levels: 1%***, 5%**, 10%*.

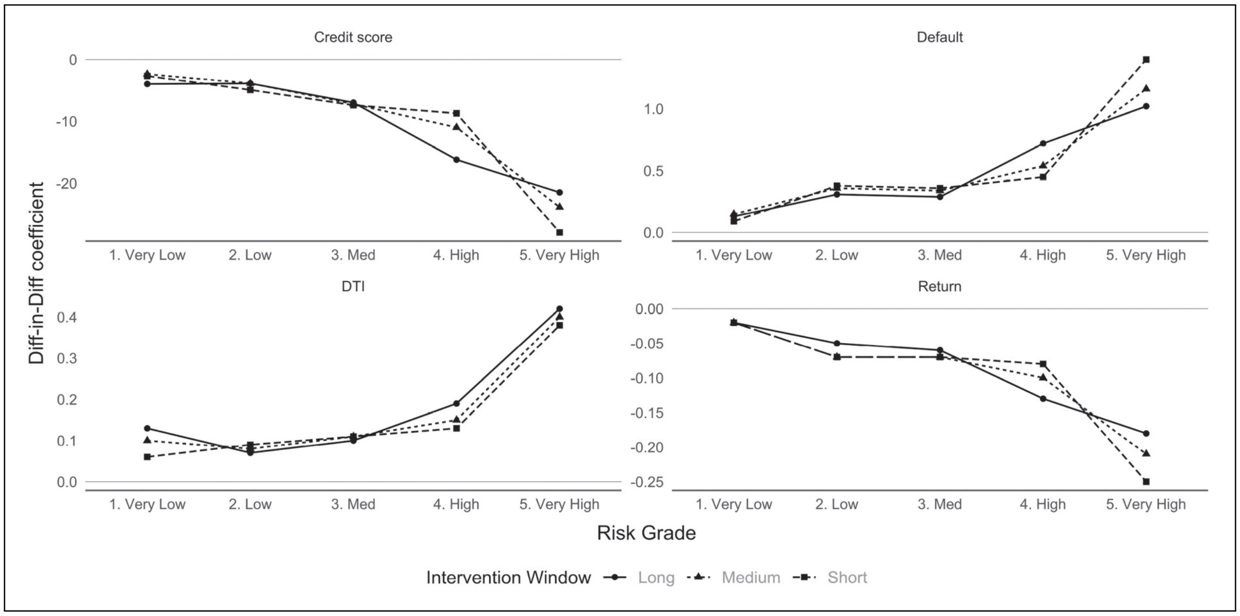

Figure 2. Difference-in-differences (DiD) results by loan grade (baseline results). Notes: This figure illustrates the treatment effects for the four dependent variables, for each of P_1's loan grades. In each panel, there are three lines, one each of the Long, Medium, and Short intervention windows. Estimates are obtained using a heterogeneous DiD estimator based on Sun and Abraham (2021).

and control subjects. This method also allows us to visualize the treatment effect distinctly on a monthly basis. In particular, we derive estimates using generalized synthetic controls, which is based on the methodology proposed by Abadie et al. (2010). This estimator captures intervention effects across various treated sub-groups, facilitating a visualization of the IPO effect across the loan grade distribution. Specifically, we split the sample of loans based on the loan grade risk level. We let $t = 0$ denote the intervention date and assume that our sample spans the months $t = \{T^-, \dots, -1, 0, 1, \dots, T^+\}$. We then consider the outcome variable $Y = \{\text{Credit Score, DTI, Default, Return}\}$ and let $Y^T_{\text{platform},k,t}$ represent the outcome affecting a loan from Platform $\in \{1, 0\}$ with grade k at time t, if the group was subject to an intervention during this period. Conversely, $Y^{NT}_{\text{platform},k,t}$ represents the outcome affecting a loan from Platform $\in \{1, 0\}$ with grade k at time t, in the absence of an intervention during this period. The goal of our model is to estimate the treatment effect, for months $t = \{1, 2, \dots, T^+\}$, across all treated groups: $\gamma_{1,k,t} = Y^T_{1,k,t} - Y^{NT}_{1,k,t}$, that is, the difference between the observed and the counterfactual, for every post-intervention month in the panel. Specifically, we want to estimate matrix γ_1, with element $\gamma_{1,k,t}$ in the kth row and the tth column. Because $Y^{NT}_{1,k,t}$ is unobservable, it is necessary to construct a dependable counterfactual. To address this, we introduce a technique that estimates the counterfactual using an interactive fixed-effects model, by integrating the interaction between time-varying coefficients and unit-specific intercepts among the control units.

The synthetic control estimates corroborate our DiD regressions: the uppermost plots in Figure 3 reveal a divergence between the trend of the intervention group (solid line) and that of the synthetic control (dashed line). Similarly, the lowermost plots indicate a significant deviation of the trend gap during the intervention period. Figure 4, which provides a breakdown of the results by loan risk grades, illustrates that the effect's magnitude is largely contingent on the loan grade. Consistent with Section 7, the effect is most pronounced in the riskiest grades.

9 Extension II. The Impact of Access Control on Lender Screening

In lending platforms, borrowers must pass two screening layers to qualify for a loan. In the first layer, the platform screens borrowers to determine whether they should be admitted to the marketplace (and to classify them into a "risk grade"). In the second layer, the lenders assess which borrowers are creditworthy of a loan.

Thus, a relaxation in screening standards from the platform will have little impact if lenders screen out the fringe group of subpar borrowers. Or, put another way, if the pool of lenders is sufficiently rational to identify subpar borrowers brought by the platform, the effect will be moderated.[14] We examine this moderating effect of the access standards relaxation in our dataset across two dimensions: *loan size* and *loan purpose*.[15]

In theory, lenders are likely to screen borrowers differently based on these two dimensions. First, larger loans inherently pose a higher financial risk for lenders, prompting a more stringent evaluation process due to the greater consequences of default. Consequently, lenders may employ more

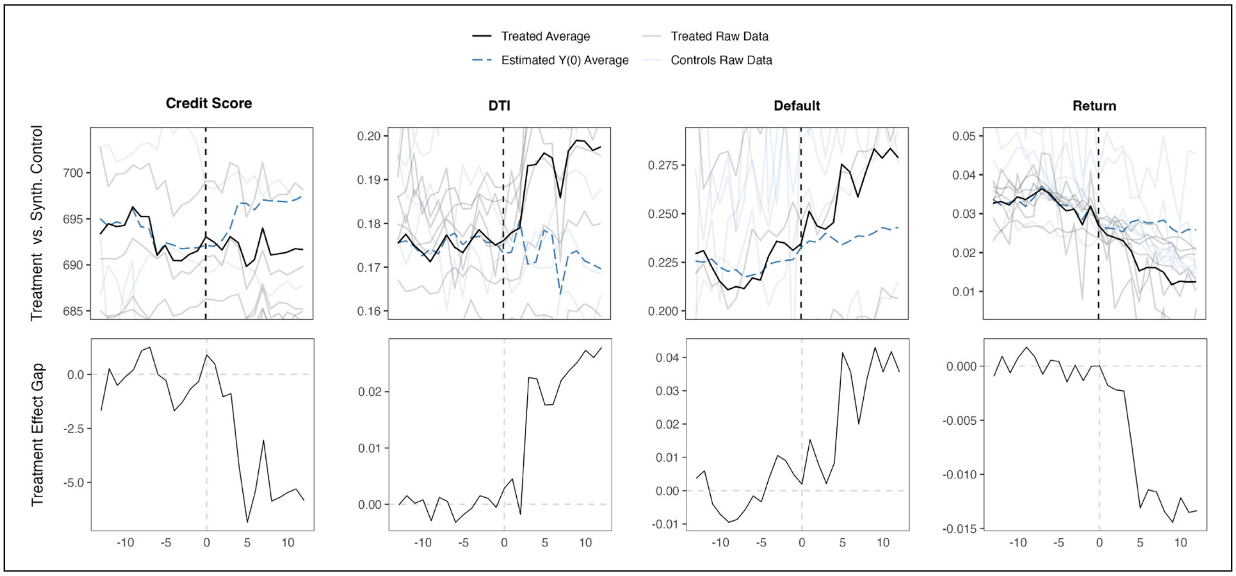

Figure 3. Synthetic controls: Trend estimates (top) and treatment effect gap (bottom). Notes: The plots in the upper row display the treatment effect on the treated (the solid lines) against the counterfactual synthetic group's performance (the dashed lines). The thinner lines depict the five treated groups (and their synthetic controls). The bottom plots display the performance gap of the treated and synthetic control groups along the time series.

rigorous criteria and conduct deeper due diligence to mitigate potential losses on larger sums. Second, loans intended for discretionary purposes, such as vacations or weddings, may be considered less essential, inducing lenders to adopt a more cautious approach in their funding decisions. Conversely, loans for urgent or necessary expenditures, such as medical expenses or home repairs, might evoke empathy or a sense of social responsibility among lenders, leading them to relax their own screening rigor. Additionally, the urgency of a borrower's need can elicit emotional responses that result in less rigorous screening. Furthermore, lenders may exhibit an empathy bias when assessing the likelihood of repayment for necessary loans, underestimating the risk due to the perceived importance of the loan's purpose, as discussed by Baldner et al. (2015).

To conduct this analysis, we obtain the conditional DiD effect across two regressions. In the first regression, we condition the treatment effect with the loan amount (Amount_{it}) as the moderating factor. In the second set of regressions, the moderating term is the dummy variable $\text{Loan Purpose} = \{\text{Essential}, \text{Discretionary}\}$.

Tables 6 and 7 present the conditional DiD estimates and a detailed breakdown of the baseline DiD effects and the conditional effects of the amount borrowed and the dummy variable for discretionary loans. Our findings reveal a clear trend that substantiates our hypothesis: lenders were more successful in screening out these subpar borrowers when large loans or loans for discretionary consumption were requested. Conversely, when loans were small or related to necessary or urgent purchases, lenders were less effective at identifying subpar borrowers.

10 Discussion and Remarks

10.1 Mechanisms: How Can Screening Standards Be Relaxed?

Throughout this article, we have discussed how platforms adjust their access control standards. But through which mechanisms can this be done? In Section 3.1, we discussed how platforms implement a five-stage process to screen borrowers. Adjustments to access standards can be made by altering the mechanics or algorithms employed in Steps 2, 3, 4, or 5 of this screening process—or concurrently across all steps.[16] During a discussion with professionals from this industry, we learned about potential adjustments to the screening standards for each step:

- *Step 2: Model Selection and Training.* Platforms may relax their access control through hyper-parameter optimization or model selection that leans toward predicting more favorable outcomes by overfitting to a dataset curated to exhibit predominantly positive repayment metrics. Techniques such as regularization might be underutilized, allowing the model to fit too closely to data that show favorable loan performance.
- *Step 3: Feature Importance and Weighting.* Platforms may apply dimensionality reduction techniques in ways that diminish the impact of adverse credit indicators. For instance, principal component analysis or feature selection methods might be skewed to underrepresent variables associated with higher default risks, such as low credit scores or high DTI.

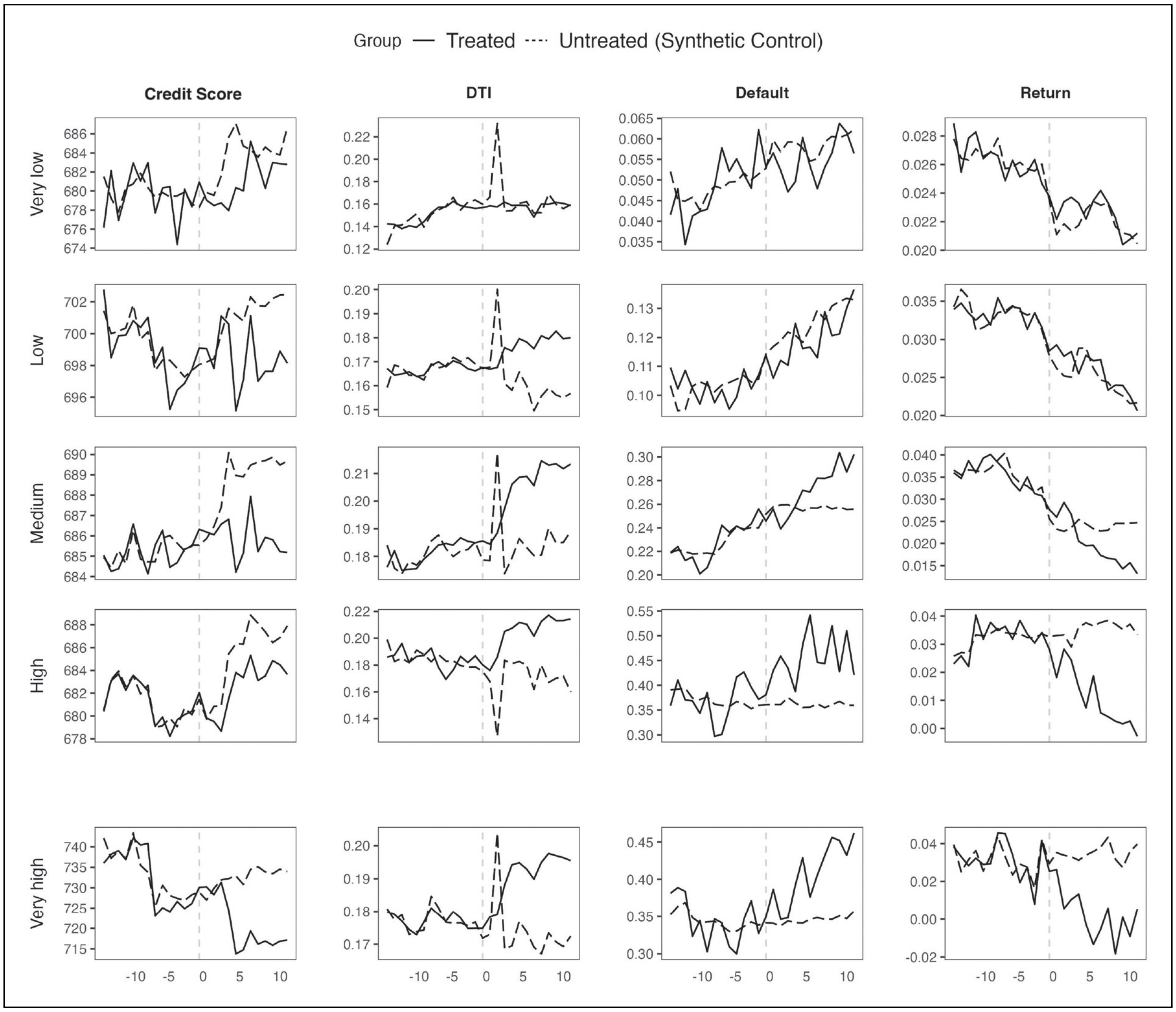

Figure 4. Synthetic control results by risk grade. Notes: Each plot represents the synthetic control treatment effect for each loan group and outcome variable. The solid line represents the treatment effect, whereas the dashed line represents the effect on the synthetic control group.

- *Step 4: Risk Prediction and Decision Making.* Platforms can relax the standards by employing risk thresholds that are dynamically adjusted to approve a higher number of loans. For example, they may use a receiver operating characteristic (ROC) curve to choose a cut-off point that maximizes loan approvals rather than balancing true positive and false positive rates effectively.
- *Step 5: Model Evaluation and Iteration.* In Step 5, platforms could selectively focus on performance metrics that do not adequately capture the risk of default, such as prioritizing accuracy over more relevant metrics like the F1 score or area under the ROC (AUC-ROC) for imbalanced classes, or employ data windowing techniques to maintain the appearance of improving loan portfolios.

These modifications are part of the company's proprietary algorithms, which they can alter at their discretion without any obligation to disclose their methodologies and without transgressing any existing regulation. Detecting at which stage the company adjusts its standards is challenging, as any of the mentioned mechanisms could be precisely or simultaneously altered. However, a closer examination of these steps gives us a nuanced view of how easily, subtly, and undetectably the screening process can be adjusted.

10.2 Generalizability

10.2.1 Can Our Results Be Extrapolated to Every Platform?. This article is relevant only to P2P platforms to which access control is governed and users are admitted or rejected through standardized screening processes. Specifically, we identified three conditions that determine whether a platform falls within the scope of our article:

Table 6. Model estimates: *DiD conditional effect:* CreditScore and DTI.

Specification	I	II	III	IV	V	VI	VII	VIII	IX	X	XI	XII
Baseline DiD	−11.18***	−11.55***	−8.84***	−11.18***	−11.55***	−8.81***	0.06***	0.09***	0.08***	0.06***	0.06***	0.06***
	(0.48)	(0.45)	(0.48)	(0.48)	(0.35)	(0.40)	(0.01)	(0.01)	(0.01)	(0.01)	(0.01)	(0.01)
Conditional Effect: Amount Borrowed	5.13***	4.72***	5.13***				−0.01***	−0.03**	−0.02***			
	(0.34)	(0.34)	(0.28)				(0.00)	(0.01)	(0.01)			
Conditional Effect: Discretionary Loans			4.37***	4.40***	5.47***				−0.03***	−0.01***	−0.01***	
				(0.21)	(0.37)	(0.40)				(0.01)	(0.00)	(0.00)
Dependent Variable	CreditScore						DTI					
Intervention Window	*Long*	*Medium*	*Short*	*Long*	*Medium*	*Short*	*Long*	*Medium*	*Short*	*Long*	*Medium*	*Short*
Observations	*527,059*	*527,059*	*527,059*	*527,059*	*527,059*	*527,059*	*527,059*	*527,059*	*527,059*	*527,059*	*527,059*	*527,059*

Notes: This table presents the conditional DiD estimates. Specifications I through XII provide a detailed breakdown of the baseline DiD effects and the conditional effects of the amount borrowed and the dummy discretionary loans. The dependent variables are CreditScore and DTI, with intervention windows classified as Long, Medium, or Short. Observations across all specifications total 527,059. Standard errors in parentheses. DTI = debt-to-income; DiD = difference-in-differences. Significance levels: 1%***, 5%**, 10%*.

Table 7. Model estimates: *DiD conditional effect:* Return and Default.

Specification	I	II	III	IV	V	VI	VII	VIII	IX	X	XI	XII
Baseline DiD	−0.08***	−0.09***	−0.08**	−0.08***	−0.08***	−0.08**	0.09***	0.09***	0.09***	0.08***	0.08***	0.06***
	(0.02)	(0.02)	(0.02)	(0.01)	(0.01)	(0.01)	(0.03)	(0.03)	(0.03)	(0.02)	(0.02)	(0.02)
Conditional Effect: Amount Borrowed	0.04***	0.04***	0.03***				−0.02***	−0.02***	−0.02***			
	(0.02)	(0.01)	(0.01)				(0.01)	(0.01)	(0.01)			
Conditional Effect: Discretionary Loans			0.07***	0.06***	0.04***					−0.09***	−0.08***	−0.05***
				(0.02)	(0.01)	(0.01)				(0.02)	(0.01)	(0.01)
Dependent Variable	Return						Default					
Intervention Window	*Long*	*Medium*	*Short*	*Long*	*Medium*	*Short*	*Long*	*Medium*	*Short*	*Long*	*Medium*	*Short*
Observations	*527,059*	*527,059*	*527,059*	*527,059*	*527,059*	*527,059*	*527,059*	*527,059*	*527,059*	*527,059*	*527,059*	*527,059*

Notes: This table presents the conditional DiD estimates. Specifications I through XII provide a detailed breakdown of the baseline DiD effects and the conditional effects of the amount borrowed and the dummy discretionary loans. The dependent variables are Return and Default, with intervention windows classified as Long, Medium, or Short. Observations across all specifications total 527,059. Standard errors in parentheses. DiD = difference-in-differences. Significance levels: 1%***, 5%**, 10%*.

1. The platform's user base is elastic with respect to the screening standards.
2. The screening standards can be feasibly and quickly altered.
3. A large proportion of users are monetized.

Condition 1 excludes platforms that are unable to influence their user base via screening, such as Craigslist and Kijiji, which implement virtually no barriers to access. This also applies if the platform's user base has limited growth potential—for example, if a platform has already enrolled most of the population.

Condition 2 excludes platforms with screening processes that are difficult to change due to managerial, political, or legal reasons. For example, a platform offering babysitting services cannot waive criminal checks, and a dating website cannot admit underage users, irrespective of how much it wishes to increase its user base.

Condition 3 excludes platforms whose revenue is loosely connected to their user base. The more monetizable a new user is, the more likely it is that investors will value the company's prospects based on user base growth and, hence, the more incentives it has to relax the standards before the IPO.

By identifying these criteria, we can determine which industries fall within the scope of this article. However, even within an industry, some platforms are more prone to altering their screening standards. Our hypothesis is particularly applicable to companies using high screening standards as a marketing pitch. For example, TutorMe rejects 96% of aspiring tutors, and EliteSingles turns down most applicants after meticulously screening their LinkedIn profiles. These platforms, which emphasize exclusivity and high standards, might aggressively employ screening tactics to enhance their valuation before an IPO.

10.2.2 Can Our Results Be Extrapolated to Companies of Different Scales?. The behavior examined in this article applies to companies of all sizes, as the strategic incentives to window-dress before an IPO stem from a desire for growth rather than size. Both large and small companies face pressures to present an optimistic financial outlook to attract investors, albeit for different reasons. Large firms aim to justify high market valuations, while smaller firms often need to signal financial stability and attract investors. Despite these differences, the underlying motivations remain the same, making our findings applicable across firms of varying scales. Prior research, such as Stolowy and Breton (2004), shows that companies of all sizes use similar techniques like earnings management to shape external perceptions before going public.

10.2.3 Can Our Results Be Extrapolated to Other Key Financial Events?. The behavior documented in this article can occur at various financing stages, as the inherent strategic incentives for companies to attempt to window-dress in front of investors remain. There is, in fact, nothing unique about IPOs that precludes this behavior from happening during other capital-raising events. However, we believe that the behavior exposed in this paper is considerably more prevalent during IPO events. For one thing, intense expectations during an IPO are common, as a company faces scrutiny from stakeholders, including investors, analysts, and the media. This attention is due to the transition from private to public ownership, which establishes market perception and valuation. The pressure to present favorably is immense, as IPO success impacts future access to capital, market reputation, and shareholder value. This pressure can lead companies to present an overly optimistic view of their financial health and operations, making such behavior more likely during an IPO than at other financing stages. In particular, managers naturally face pressure to outperform in the stock market debut when they are in the public spotlight. Moreover, after an IPO, continuous long-term market scrutiny limits these practices. For instance, debt financing involves strict covenants and regular reporting that constrain misleading presentations. Thus, while such behavior may occur at various financing stages, the strategic incentives are strongest before an IPO.

10.3 What to Expect After the IPO

Our study shows that an IPO can drive a platform to alter its access standards to create an artificial indicator of success. This compromises the platform's integrity due to substandard screening processes. By allowing inferior users into the digital interface, outcomes arising from peer interactions deteriorate after the IPO (e.g., higher loan defaults).

However, it is important to remember that the relaxation of screening standards has the potential to leading to a significant surge in stock price and substantial capital raising. A successful IPO, in fact, provides the company with an opportunity to amass additional capital. If reinvested wisely, this influx of funds can propel the company's growth in the long term or enable the creation of new services. Thus, a temporary compromise in user quality could help achieve more ambitious goals. For example, P2P platforms could use this capital to develop innovative services, enhance governance, and create a more efficient platform overall. In such cases, the temporary sacrifice in user quality can benefit the platform's long-term prospects.

However, some IPOs are issued primarily for the personal gain of company owners, who aim to profit from their shares. In this scenario, the IPO serves to maximize private utility rather than reinvest in the business, ultimately harming the company without yielding benefits. Therefore, the benefits of relaxing access control standards depend on whether the proceeds are (properly) reinvested in the business or used for personal gain.

10.4 Summary of Takeaways

This article addresses a critical gap in the OM literature on platform operations. Past studies have focused on debating the optimal policy for access control, under the assumption that platforms continually attempt to optimally balance user base growth and platform legitimacy by choosing the appropriate level of access standards (see, for instance, Ghazawneh and Henfridsson, 2013; Chen et al., 2022). Our paper, to our knowledge, is the first to introduce the concept of strategic relaxation of access control processes during key financial events, enriching the discourse on platform governance. An important takeaway from our paper is that platforms may occasionally resort to suboptimal access control policies to adjust user base growth around these critical financial moments.

10.4.1 Managerial Implications. Research in P2P lending has largely focused on the effectiveness of lender screening (see Wei and Lin, 2017; Wu et al., 2021; Wang et al., 2022). These studies often blame high delinquency rates on poor screening by lenders. Our findings show that lenders' ability to screen borrowers is hindered when platforms suddenly lower access control standards, leading to financial losses. However, a subset of lenders, particularly those handling larger and discretionary loans, tend to implement more judicious screening, making the relaxation of standards less effective for these segments. Smaller or essential loans, by contrast, might be screened less carefully.

Thus, we highlight the interaction between two levels of screening: platform-level control (for access) and user-level screening (for outcomes). This contrasts with previous studies that focused on improving screening efficiency from the lending side, assuming platform access control policies are static (e.g., Lin et al., 2013; Gao et al., 2021; Lu et al., 2021). To our knowledge, we are the first to study the effectiveness of lender screening under dynamic policies.

Moreover, our article will help IPO stock investors make more accurate judgments about a platform's value. As we show, one of the most reliable ways to value a platform—namely, by assessing the growth of a platform's user base—can give misleading estimates when it comes to a pre-IPO company. In the months leading up to an IPO, we suggest that stock investors pay special attention to changes in the platform's access control policy before calculating growth in the platform's user base.

10.4.2 Implications for Regulators. Platform governance is significantly influenced by regulations. To understand how these regulations might impact our results, we reviewed the regulation of P2P platforms in various countries, including the European Crowdfunding Service Providers Regulation (ECSP), the Financial Conduct Authority in the United Kingdom, and the Securities and Exchange Commission in the United States. We found no specific regulations as to how platforms should manage access control. Where regulations existed, they were vague, such as requiring platforms to exercise "responsibility" when screening users. The only consistent and unambiguous regulation is that companies cannot charge interest rates above the usury laws. Beyond this, no policy is in place to dictate whether platforms can change their access control policies, let alone before an IPO.

The lack of regulatory action on this issue may be due to the absence of documented evidence in the academic literature. Our paper aims to fill this gap, potentially prompting regulators to address this behavior by acting on our findings and drafting legal processes to prevent changes to access standards before key financial events like IPOs. The finance and accounting literature has already highlighted the tactics that firms use to inflate their IPO valuations, aiding regulators in curtailing these practices. By revealing a new window-dressing tactic arising from operational screening processes, our paper fosters a much-needed discussion on regulating the screening policies of pre-IPO platforms. Accordingly, our study aligns with and extends the literature calling for a re-evaluation of regulatory frameworks in platforms and new technologies (e.g., Benjaafar and Hu, 2020), particularly in light of this strategic change in access control policies.

Acknowledgments

The authors sincerely thank the department editor (Subodha Kumar), the associate editor, and the two anonymous referees for their valuable comments, which have helped significantly improve the paper.

Declaration of Conflicting Interests

The author(s) declared no potential conflicts of interest with respect to the research, authorship, and/or publication of this article.

Funding

The author(s) received no financial support for the research, authorship and/or publication of this article.

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Supplemental Material

Supplemental material for this article is available online (doi: 10.1177/10591478241310217).

Notes

1. Platforms must adhere to usury laws, which cap the maximum allowable interest rate. Consequently, borrowers are denied access if, based on the platform's algorithms, they would require an interest rate exceeding these legal limits.
2. Due to data provenance requirements, we maintain the anonymity of these two platforms and refer to them as P_0 and P_1. We also need to conceal some key dates and figures to abide by the terms of the data policies. However, none of these figures compromises the analysis or exposition in any way.
3. Ex-post screening is also referred to as "output control" by Chen et al. (2022).

4. Additional types of network effects include cross-network, multi-homing, local, and quality network effects, each contributing uniquely to the platform's value. Despite their variations, these effects generally support the fundamental tenet that platforms become exponentially more valuable as they scale up.
5. There are other sub-grades, but they are used for special loans and contain very few observations. For convenience, we have not included them in the regressions.
6. In the United States, usury laws vary by state: for example, Florida caps interest rates at 18% annually, while New Mexico caps them at 15%. Internationally, Germany's cap is double the average market rate, and Japan sets its maximum between 15% and 20%, depending on the loan size.
7. Note that we also have the payment history for all of these issued loans, meaning we know whether each loan was partially or fully repaid, and the date of any defaults (if applicable).
8. These intervention windows align closely with the stages described in industry reports, such as those outlined in Ernst & Young's *Guide to Going Public* (Ernst & Young, 2023).
9. We shall use the *Medium* window only for plots and secondary analysis (due to space constraints). However, the e-companion contains supplementary results for both the *Short* and *Long* windows.
10. Note that we run a logistic regression when using $\text{Default}_{it} \in \{0, 1\}$ as the model's dependent variable. In all other cases, we use least squares estimation.
11. We highlight that our model is not a panel data DiD model because we do not leverage repeated observations over time for a given loan *i*. This contrasts with our model in Section 8, which has aggregate loan data by grades.
12. This is similar to a university admissions process: candidates with stellar GPAs will be admitted regardless of the policy, while those with borderline GPAs depend on it. Thus, relaxing the admission policy would likely increase the inflow of applicants with borderline GPAs.
13. This result builds on a study by Iyer et al. (2016), who examine the role of soft information in borrower screening. We extend this by demonstrating how financial milestones like IPOs affect the risk profiles of different borrower grades. Additionally, our findings complement those of Rajgopal et al. (2003) and Wang et al. (2022), who evaluate network advantages and risk in online platforms, by quantifying financial risks associated with platform strategies during critical financial transitions for both risky and safe loans.
14. This idea applies to other types of platforms as well. For instance, even if Airbnb allows more unqualified properties onto their platform, this will have a tangible impact only if renters ultimately stay in such premises.
15. In particular, we note that though loans serve multiple purposes and include a fine categorization for these (weddings, vehicle purchases, education, health, and home repairs), loans are broadly categorized into two purposes: (i) discretionary consumption (e.g., vacation, wedding, and vehicle purchase); (ii) essential consumption (e.g., education, medical expense, and home repairs).
16. Step 1 is a passive process, whereby the platform only ingests data and, thus, little can be done, except for adjusting the data (which is difficult to do, given that there is legal oversight from regulatory bodies).

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How to cite this article

Lapierre-Berger G, Cohen MC and Puyana-Bastin J (2025) When Platforms Go Public, Standards Drop. *Production and Operations Management* 34(8): 2083–2103.